The Entrepreneurs

Start with less. *Build something substantial.*



A younger couple with modest savings, a loan from family and the skills to do much of the refurbishment themselves. They live on a lean budget, overpay the bank mortgage and repay family steadily.

All three Castle House illustrations use the same business and the same trading assumptions. The couple live on a set budget and put every other pound towards their borrowing.

SALARY EQUIVALENT

£43k

Gross household salary. Leaves £37,639 a year after tax to live on, plus their home.

DEBT-FREE IN

15.0 yrs

Bank mortgage cleared in 13.1 years; family loan repaid over 15 years.

INCOME THEREAFTER

£146k

Equivalent gross household salary, once debt-free (£105,596 a year after tax).

The cost

Property purchase	£675,000
Refurbishment	£120,000
Stamp duty	£23,750
Legal & professional fees	£10,000
Initial working capital	£20,000
Less: refurbishment done themselves	−£50,000
To fund	**£798,750**

How it's funded

Their own money Equity and savings	£125,000
Family loan 3.5% over 15 years, repaid in equal instalments	£175,000
Bank mortgage 7.5% over 25 years · 74% of the purchase price	£498,750
Total	**£798,750**

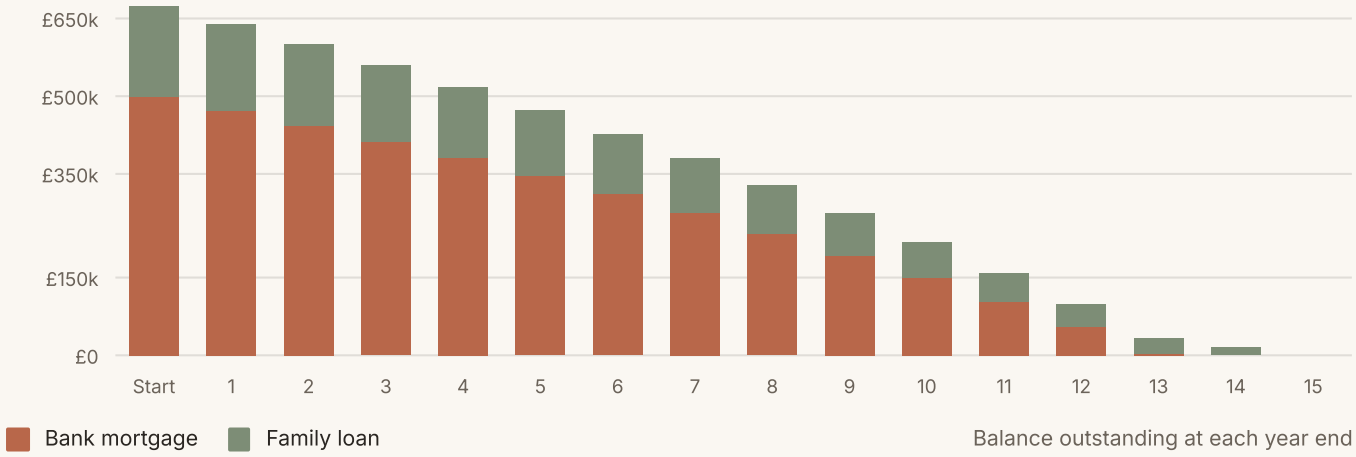
The business

Guest bookings Base trading year	£236,208
Less VAT	−£39,368
Less running costs Commissions, breakfast, utilities, insurance, upkeep and more	−£53,783
Owner earnings **Before personal tax; the owners do the work themselves**	**£143,057**

The household, year one

Owner earnings	£143,057
Income tax & National Insurance Two equal partners	−£26,760
Living budget £43k salary equivalent; housing provided	−£37,639
Towards borrowing **Of which £44,229 is the scheduled mortgage payment**	**£78,658**

Debt repayment timeline



Balance outstanding at each year end

13.1 years	Bank mortgage repaid, instead of 25 years.
15.0 years	Family loan repaid in full; completely debt-free.
Thereafter	£105,596 a year after tax, with no borrowing, from the same business.
Interest paid	£324,143 in total across all borrowing.

Year by year

Each year: owner earnings less tax leaves the after-tax income. The couple keep their living budget; the rest pays the borrowing. Once the bank mortgage is cleared, money no longer needed for it goes back to the household.

Year	Owner earnings	Tax & NI	After tax	Mortgage paid	Family loan paid	Household income	Debt at year end
1	£143,057	£26,760	£116,297	£63,646	£15,013	£37,639	£637,558
2	£143,057	£27,366	£115,690	£63,039	£15,013	£37,639	£599,565
3	£143,057	£28,005	£115,052	£62,400	£15,013	£37,639	£559,676
4	£143,057	£28,677	£114,380	£61,728	£15,013	£37,639	£517,794
5	£143,057	£29,384	£113,673	£61,022	£15,013	£37,639	£473,814
6	£143,057	£30,127	£112,930	£60,278	£15,013	£37,639	£427,626
7	£143,057	£30,910	£112,147	£59,495	£15,013	£37,639	£379,115
8	£143,057	£31,734	£111,323	£58,672	£15,013	£37,639	£328,159
9	£143,057	£32,601	£110,456	£57,805	£15,013	£37,639	£274,630
10	£143,057	£33,513	£109,544	£56,892	£15,013	£37,639	£218,392
11	£143,057	£34,474	£108,583	£55,931	£15,013	£37,639	£159,303
12	£143,057	£35,485	£107,572	£54,920	£15,013	£37,639	£97,212
13	£143,057	£36,550	£106,507	£53,856	£15,013	£37,639	£31,961
14	£143,057	£37,258	£105,799	£3,023	£15,013	£87,764	£14,732
15	£143,057	£37,390	£105,667	£0	£15,013	£90,654	£0
16 · debt-free	**£143,057**	**£37,461**	**£105,596**	**£0**	**£0**	**£105,596**	**£0**

Key assumptions

Trading. A mature, well-run year from the start: £236,208 of guest bookings and £143,057 owner earnings, every year. In practice a refurbishment and launch period would come first.

The work. The owners run the guesthouse themselves; owner time is not costed. Their reward is the living budget and, over time, owning the property and business outright.

Living budget. £37,639 a year after tax: what two employees on £21,250 each would take home (2025/26 income tax and National Insurance). Housing is provided by Castle House and not valued here.

Borrowing. Bank mortgage at 7.5% on a 25-year repayment basis, with overpayments allowed. Family loan at 3.5% over 15 years, repaid in equal instalments. Lender approval and terms are assumptions.

Tax. A two-partner business, profit shared equally: 2025/26 income tax and self-employed National Insurance. 60% of loan interest treated as a business expense, to be confirmed with an accountant.

Today's money. No inflation is applied to prices, costs or living budgets.

If things differ

Scenario	Mortgage cleared	Debt-free
Base case Base trading, as illustrated	**13.1 years**	**15.0 years**
Weaker trading Conservative scenario: owner earnings £107k a year	23.3 years	23.3 years
Mortgage rate +1% 8.5% instead of 7.5%	14.0 years	15.0 years
No tax relief on interest If none of the loan interest were tax-deductible	16.1 years	16.1 years

Each line changes one assumption and keeps the same living budget. The family loan runs to its fixed term, so the debt-free date only moves if the bank mortgage takes longer.

Please note

This is an illustration of how the Castle House opportunity could work for one kind of buyer. It is not a forecast, an offer of finance or financial, tax or legal advice. Castle House is not currently trading as a B&B, and any change of use or refurbishment is subject to planning permission, listed building consent and other approvals. Actual results depend on trading performance, costs, financing availability and personal circumstances. Please take independent professional advice. Viewings: Currans.